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Human Resources and Social Development

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SAUDI ARABIA'S LABOR MOBILITY REFORMS

A NEW ERA FOR FOREIGN WORKERS AND THE LABOR MARKET

Aleisa Mohannad | Bartolj Tjaša | Chartouni Carole | Dominko Miha

ABSTRACT

Saudi Arabia's Labor Reform Initiative represents an important step toward a more flexible, competitive labor market with greater worker autonomy. Introduced in March 2021 as part of Vision 2030 and the National Transformation Program, the reform eased key restrictions on expatriate workers' mobility by allowing eligible workers to change employers and manage exit and re-entry procedures with greater autonomy. This report examines how the reform has shaped labor mobility, worker outcomes, and employer behavior in Saudi Arabia's private sector, drawing on administrative data, surveys, and qualitative interviews. The findings indicate that removing obstacles to expatriate mobility increased job-to-job transitions, particularly among low-skilled expatriate workers, and was associated with improved earning prospects for expatriates who changed jobs. Survey and interview evidence further suggests that the reform has strengthened workers' bargaining position and increased competition among firms for expatriate labor, prompting some employers to adjust retention practices and working conditions. The analysis also points to opportunities to strengthen the reform's impact by helping smaller and labor-intensive firms adapt to a more mobile labor market, including through better workforce planning, stronger human resource practices, improved access to skills, and incentives to invest in training and worker retention. Overall, the Labor Reform Initiative offers important lessons for advancing labor market flexibility, worker protection, and Saudi Arabia's long-term economic transformation.

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INTRODUCTION

Labor mobility refers to the ability of workers to move freely between jobs, occupations, industries, or geographic locations in search of employment opportunities. Several factors determine the extent of a country's labor mobility, including economic incentives, social conditions, individual circumstances, and regulatory environments. For example, areas with strong economic growth and high labor demand can attract more workers. Family and friends can either encourage relocation through connections in new areas or act as a constraint. Additional considerations like climate, health care, and access to education may affect the decision to relocate. Finally, restrictive policies may also influence employers' or employees' readiness and ability to move.

In March 2021, the Saudi Arabian government introduced the Labor Reform Initiative (LRI), removing some legal restrictions on expatriate workers' labor mobility. As part of the National Transformation Program and Vision 2030, the policy aimed to attract high–skilled foreign talent, improve the working environment, and boost productivity, which is crucial for achieving economic goals. The LRI enables expatriate workers to change jobs and exit or re–enter the country without their current employer's prior consent, significantly improving their autonomy and working conditions. The LRI was introduced alongside a series of policy reforms, including initiatives to attract and retain talent in the country, such as visas for highly skilled individuals and investors under the premium residency system.

International evidence suggests that enhanced labor mobility for expatriate workers could profoundly improve Saudi Arabia's economic landscape by benefiting both employees and firms. The literature demonstrates that reallocating workers to sectors and regions with higher demand increases competitiveness and strengthens economic resilience (Castellanos and Heutel 2024). For expatriates, the freedom to switch employers under the LRI enables them to find positions that better match their skills and expertise, resulting in higher productivity and greater job satisfaction (Boschma, Eriksson, and Lindgren 2014). This flexibility also motivates workers to invest

in their professional development, cultivating a more dynamic and skilled workforce. As workers gain more autonomy in choosing their employment opportunities, the labor market becomes more competitive, driving higher wages and improved working conditions for all participants (Danninger 2016). For businesses, enhanced labor mobility serves as a catalyst for greater efficiency and innovation (Braunerhjelm, Ding, and Thulin 2020). With access to a larger, more competitive talent pool, firms can better align their workforce with their specific needs, particularly in specialized sectors. Empirical evidence shows that the shortage of specialized labor is one of the main barriers to adopting more efficient technologies (Carroni, Delogu, and Pulina 2023). By intensifying competition for talent, firms are pushed to attract and retain the specialized workers needed to implement these technologies, thereby encouraging modernization of their operations. As firms overcome labor constraints and adopt advanced technologies, they achieve higher productivity levels and enhance the long-term competitiveness of Saudi Arabian industries.

Although the LRI is in place and international studies suggest that greater labor mobility can improve worker and firm outcomes, there is limited empirical evidence establishing a causal relationship between the reform and foreign workers' mobility and wages. This paper aims to address this empirical gap and contribute to the literature by providing novel causal evidence on the subject. The paper uses administrative data[1] to explore the labor mobility trends in Saudi Arabia over the past few years and analyze the impact of the LRI on worker mobility and wages. It also complements the findings from the administrative data analysis with evidence from employer and employee surveys and qualitative interviews.[2]

The paper applies the difference-in-differences approach[3] to isolate the impact of the LRI on mobility and wages. It compares labor market outcomes before and after the reform for two distinct groups: those affected by the reform and those not influenced due to ineligibility (specifically, workers who have been in the Kingdom for less than one year). By ensuring that both groups are similar in other relevant characteristics, any observed changes from the pre-LRI to post-LRI period (such as differences in labor mobility) can be attributed directly to the reform itself via the difference-in-differences approach.

1. The administrative data used in this study include microdata on workers and firms from the General Organization for Social Insurance (GOSI) and data from the Ministry of Human Resources and Social Development's (MHRSD) Nitaqat initiative for the period 2017—2024.
2. A survey of private-sector employers who experienced expatriate mobility was conducted in May 2024. Out of 438 respondents who initiated the survey, 234 provided responses. The survey captured insights from both origin and destination firms. Additionally, an online survey targeting employees who transferred under the new policy was conducted by the Qiwa platform in July 2024, receiving responses from over 49,000 participants. Finally, 48 in-depth interviews with employers were carried out in June 2024 to provide further qualitative insights.
3. The paper applies a difference-in-differences approach to isolate the impact of the reform on mobility and wages. While the strategy follows standard practice and includes robustness checks, the estimates should be interpreted with the usual caution regarding potential unobserved factors. Throughout the paper, we refer to these estimates as impacts of the reform.

The paper presents several conclusions. It shows that the rate at which nationals and expatriates switch jobs increased over the years. Job–to–job transitions for expatriate workers over the past five years were most frequent in microfirms and among low–skilled workers. Although most workers remained in the same region after transitioning jobs, many found employment across different economic sectors. The paper also concludes, based on the impact evaluation, that the LRI had its greatest positive effect on labor mobility among expatriate workers with lower skill levels. Additionally, regression analysis shows a positive relationship between the LRI and the wages of workers experiencing job transitions. Finally, qualitative analysis supports the quantitative results. Interviews indicated that expatriate workers can explore better opportunities with the LRI and that they are asking for higher pay and negotiating with their employers. This has created more competition among firms for expatriate workers. Firms also highlighted the increased flexibility to hire relevant talent with local experience at lower recruitment costs and shorter waiting times, providing indictive evidence that the LRI may have facilitated the retention of skilled expatriate talent within the Saudi market, though these insights might be shaped by respondent selection or changing labor–market conditions.

The paper is organized into seven sections. This section provided an introduction to labor mobility in Saudi Arabia. Section two explores the literature on the economic effects of labor mobility. Sections three and four provide a comprehensive overview of the Saudi Arabian private–sector labor market as well as the LRI and the legislative changes it introduced. Section five portrays labor market trends as well as the characteristics of workers who are more likely to switch jobs and their labor market outcomes. Section six presents the estimated causal effects of the policy, section seven sums up the authors' conclusions.



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EXPLORING THE EVIDENCE

LITERATURE INSIGHTS ON LABOR MOBILITY AND ITS ECONOMIC EFFECTS

Empirical and theoretical studies have identified multiple positive effects of labor mobility on workers and the economy. Understanding the intricate mechanisms driving labor mobility, as well as its underlying causes and effects, is crucial not only for comprehending the functioning of labor markets but also for formulating effective policies to enhance economic efficiency and individual welfare. This section presents empirical evidence on the effects of labor mobility on economic growth, productivity, innovation, resilience, and wages.

Labor mobility facilitates economic growth and productivity. It allows workers to move to regions or industries where their skills are in higher demand, thereby enabling a more efficient use of human resources. This improved labor allocation can enhance economic output and productivity. Estimates for Indonesia show a 22 percent increase in labor productivity gain if all barriers are removed and an 8 percent increase if the migration costs are reduced to the United States level (Bryan and Morten 2019). However, the effects on productivity are not homogeneous. In Sweden a study has found that intraregional labor mobility between skill–related industries increases labor productivity and employment growth more than intraindustry mobility and mobility across unrelated industries (Boschma, Eriksson, and Lindgren 2014). In addition, a study of 12 European Union (EU) countries revealed that workers moving from high–tech and medium–tech industries tend to create positive productivity effects for the receiving industry. However, those coming from low–tech industries have no significant impact, or may even produce negative results (Foster–McGregor and Pöschl 2016).

Labor mobility boosts creativity and technological advancements by accelerating the exchange of diverse skills and ideas. As workers relocate, they bring unique experiences and perspectives, which can lead to the development of new solutions and innovative practices. Braunerhjelm, Ding, and Thulin (2020) used a matched Swedish employer—employee dataset and firm–level econometric models to show that when skilled workers move between firms, especially innovative ones, patenting significantly increases through knowledge

transfer. Similarly, Kaiser, Kongsted, and Rønde (2015) demonstrated that mobility between patent–active firms substantially raises total innovation, as incoming workers from such firms are far more productive in generating new patents. These findings are supported by Xu et al. (2024), who used a sample of Chinese workers to emphasize the role of knowledge diffusion as a mediator through which labor mobility enhances firm innovation. Finally, Jia et al. (2022) studied the effect of top management's labor mobility experience on firm innovation. Their findings suggest that job mobility experience is positively associated with a firm's engagement in exploratory innovation strategies that generate new knowledge.

Labor mobility enhances country resilience to both external and internal shocks. The recent financial crisis, which erupted in 2008, allowed scholars to investigate whether labor mobility could influence a country's ability to withstand and recover from economic shocks. Håkansson and Bejaković (2020) studied the role of labor mobility's in reducing labor market bottlenecks and increasing resilience in Croatia. They find that due to low levels of residential mobility, the Croatian labor market adapts poorly not only to recession, but also an economic boom. In Latvia, Fadejeva and Opmane (2016) found that internal labor market mobility supported postcrisis recovery by enabling rapid worker reallocation across jobs, sectors, and contract types. This flexibility helped restore competitiveness without currency devaluation, cushioned unemployment through part–time and temporary work, and strengthened the economy's capacity to adapt to future internal and external shocks.

Finally, a mobile labor market has crucial implications for resilience not just to external but also to internal shocks, such as specific policies, particularly in the context of climate change. Castellanos and Heutel (2024) used a computable general equilibrium model of the United States to study the effects of a carbon tax on aggregate unemployment. They found that under the perfect immobility assumption, a US$45–per–ton carbon tax increases unemployment in the coal sector by 13 percentage points. Therefore, labor mobility is a key factor in mitigating the adverse impacts of both external and internal economic adjustments.

Studies generally agree that workers who switch jobs experience wage increase (Bernard, Finnie, and St–Jean 2008; Campbell 2001; Danninger 2016; Pavlopoulos et al. 2007; Perticara 2004; Yankov 2022). However, numerous challenges arise for scholars when analyzing mobility for various reasons. Mobility is a dynamic process involving workers who are often self–selected; movers tend to be more ambitious, more willing to take risks, and possess better skills and abilities than nonmovers. Ideally, researchers should isolate the impact of mobility by examining changes in the situation of the same individuals before and after they move and comparing these changes with those of "stayers" who have similar observable characteristics, which is rarely an option. Despite these challenges, scholars have made significant

progress in understanding labor mobility's positive effects on wages and welfare due to advanced statistical methods and longitudinal data. However, it is important to highlight that these positive effects on wages are stronger for early–career workers than for mid– and late–career workers (Lam, Ng, and Feldman 2012). Moreover, Davia (2005), who studied the effect of labor mobility on the wages of young workers across Europe, found that job mobility pays, even for involuntary movers. The effects also depend on the job and sector. In a study conducted in the United States, Gius (2004) found that changing jobs within the same industry or occupation leads to an increase in a person's earnings. However, a job change that involves both a shift in industry and occupation results in a reduction in earnings. Munich, Terrell, and Svejnar (2002), who studied the effect of labor mobility on wages in the Czech Republic, also found that the relationship between mobility and wages varies by type of separation and the movers' sectors of destination. Finally, studies suggest that workers who move experience gains not only in earnings, but also in education and health (Abella 2013).

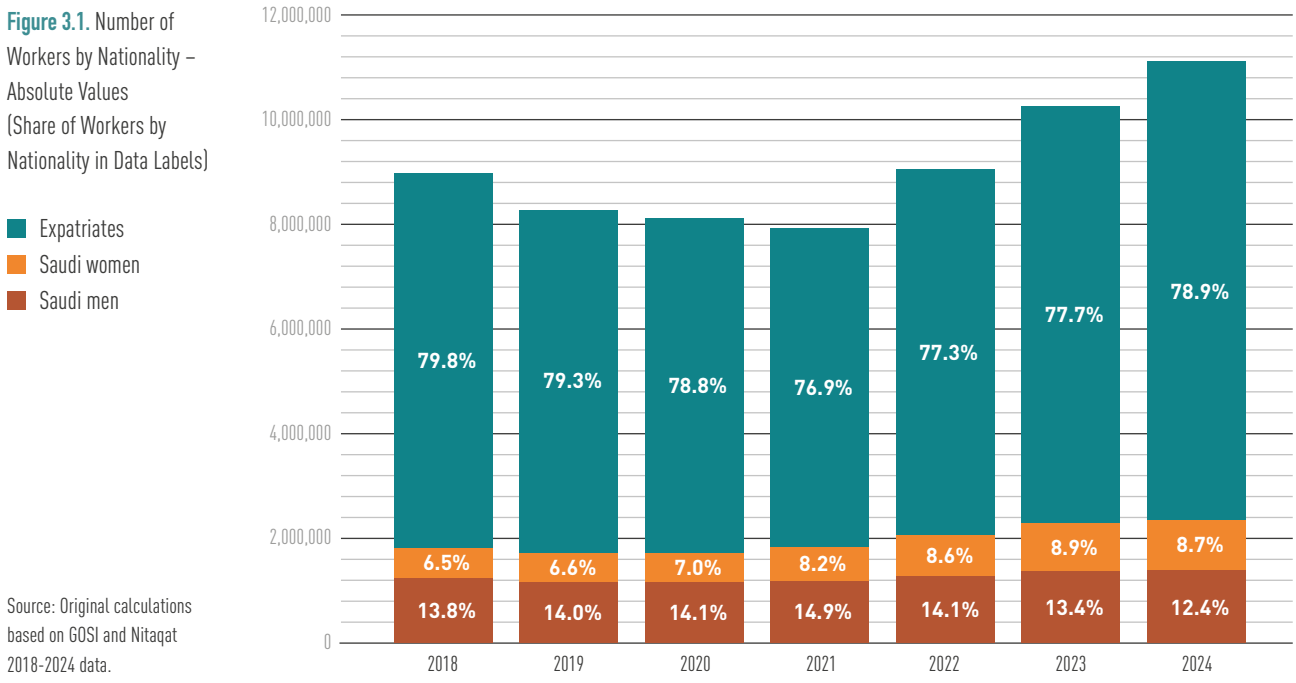


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SAUDI ARABIA'S PRIVATE SECTOR LABOR MARKET

The labor market in Saudi Arabia has undergone a significant transformation in recent years. The labor force participation rate rose from 42 percent in 2018 to 51 percent in 2024, primarily due to increased participation among women. During the same period, unemployment rates decreased by around 6 percentage points. This translated into an expansion of the private sector workforce. The number of workers in the private sector increased from approximately 9 million in 2018 to almost 11 million in 2024. The share of expatriates among private–sector workers declined slightly after COVID–19 but remained stable over the 2018—2024 period at around 80 percent. The representation of Saudi women increased, rising from 6.5 percent in 2018 to 8.7 percent in 2024, while the share of Saudi men decreased from 13.8 percent to 12.4 percent. In absolute terms, both groups experienced growth, with around 100,000 more Saudi men and 350,000 more Saudi women employed in the private sector in 2024 compared to 2018 (see figure 3.1).

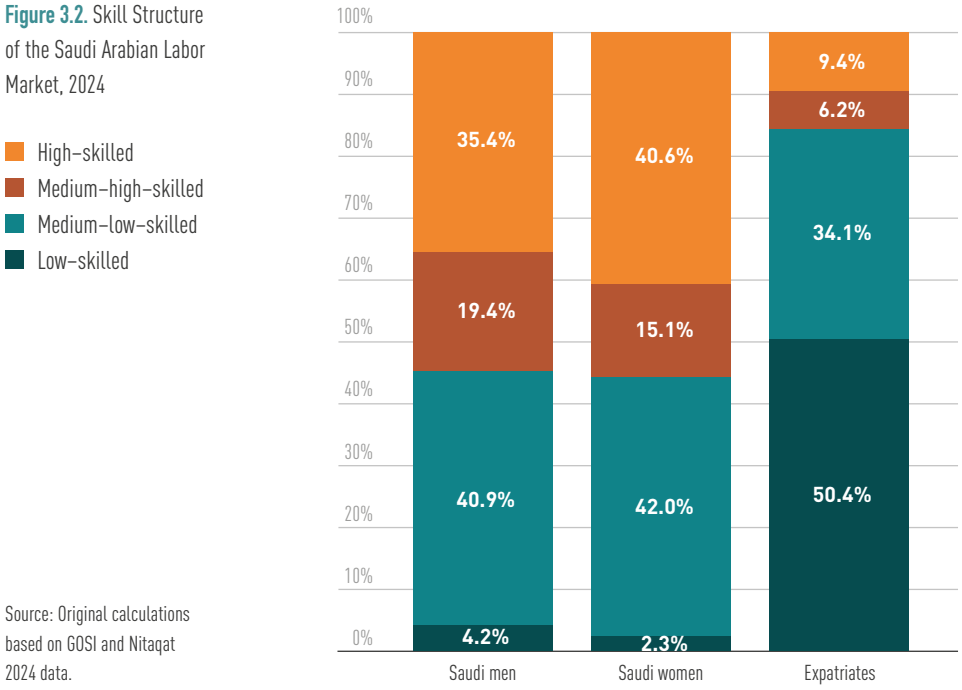
Figure 3.1. Number of Workers by Nationality – Absolute Values (Share of Workers by Nationality in Data Labels)



Source: Original calculations based on GOSI and Nitaqat 2018-2024 data.

To further support labor market transformation, it is also important to consider changes in the distribution of skill levels among expatriate workers. While high-skilled workers represent more than a third of all Saudi workers, with the share reaching around 40 percent among Saudi women, only a small share of expatriates works in occupations requiring high skill levels. In 2024, the share of high-skilled expatriates was 9 percent, with more than half employed in elementary occupations and possessing low skill levels (figure 3.2). In contrast, the majority of nationals worked in middle-skilled jobs such as clerical support workers or service and sales workers.[4] Although it is not uncommon for a country to have fewer skilled expatriates than its national workforce, the share of expatriates in the total labor force—as well as Vision 2030's goal to diversify the economy into technology, healthcare, and renewable energy sectors—has highlighted the need to attract global skilled talent and boost productivity.

Figure 3.2. Skill Structure of the Saudi Arabian Labor Market, 2024



Source: Original calculations based on GOSI and Nitaqat 2024 data.

Note: Workers are divided into skill level groups by their occupations: medium-low-skilled: clerical support workers; service and sales workers; skilled agricultural, forestry, and fishery workers; craft and related trade workers; and plant and machine operators and assemblers; medium-high-skilled: technicians and associate professionals; high-skilled: managers and professionals; low-skilled: elementary occupations.

4. See the note next to figure 3.2 for a definition of skill levels.



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OVERVIEW OF THE LABOR REFORM INITIATIVE

Recognizing the importance of a dynamic and flexible labor market for boosting productivity and attracting skilled talent, the government introduced the LRI in March 2021. The LRI eased some labor mobility restrictions for expatriate workers. Under the LRI, expatriates can transfer the sponsorship of their work and residence permits to a new employer without needing consent from their current company, subject to certain eligibility criteria (see box 4.1).

BOX 4.1. ELIGIBILITY CRITERIA FOR EXPATRIATE LABOR MOBILITY

MAIN ELIGIBILITY CRITERIA

- The worker must be an expatriate who is working under the Saudi labor system.
- The worker must complete a total of one calendar year of service for the current employer, beginning from the date of entry to the Kingdom.
- The worker must have a valid, duly attested employment contract, which is documented in the Qiwa platform.
- The worker must be presented with a job offer by the new employer through the Qiwa portal.
- The worker must submit a notice of the transfer request to the current employer, taking into consideration the notice period.

Additionally, the LRI outlines exceptions in which expatriates may transfer to new employers without adhering to the previously mentioned eligibility criteria.

EXCEPTIONS TO THE MAIN ELIGIBILITY CRITERIA

- Not receiving a salary for three consecutive months.
- If the employer is absent due to travel, imprisonment, death, or any other reason.
- If the expatriate's work permit or visa expires.
- If the worker reports a commercial cover–up by the employer, provided the worker is not involved.
- If the current employer approves the expatriate worker's transfer.

The LRI also introduced important changes regarding exit and re-entry, as well as final exit visas for expatriate workers. Under this reform, expatriates can independently apply for exit and re-entry visas through the Absher portal during the validity of their employment contract, allowing them the flexibility to leave and return to Saudi Arabia without relying on employer approval. Additionally, the LRI enables expatriate workers to submit an electronic application for final exit visas through Absher, granting them the freedom to exit the country at the end of their contract. However, both services require workers to meet certain conditions to qualify for these options.[5]

The process for transition to a new employer has also been significantly enhanced under the LRI. Previously, transferring employment required the new employer to initiate the process in person at labor offices. However, under the LRI, the transfer request is now initiated through a platform called Qiwa. Moreover, the current employer now only receives a notification and no longer has the authority to reject or object to the request. Before the implementation of the LRI, the transfer process was contingent on the original employer's explicit approval, which had to be submitted with the request. Labor office decisions were based primarily on this approval. Now, the process places greater emphasis on worker autonomy. The employee accepts the offer from the new employer and begins the notice period, unless waived by the current employer. Once the notice period is complete, the new employer finalizes the residency transfer via the Absher platform, enabling the employee to start their new job.

5. To obtain the automatic exit and re-entry visa service, the worker must: be an expatriate who is working under the Saudi labor system; have a valid residency visa; have a duly attested employment contract; pay the requisite fees; not have any outstanding fees or fines; and declare through the Absher portal that they fully understand the measures entailed by their failure to return before the leave period approved by their employer ends. To obtain the automatic exit visa service, the worker must meet the same criteria, except for a different declaration in the Absher portal: the worker must declare that they understand the measures entailed by their decision to exit the Kingdom before fulfilling their contract or applying through the platform (MHRSD 2020).



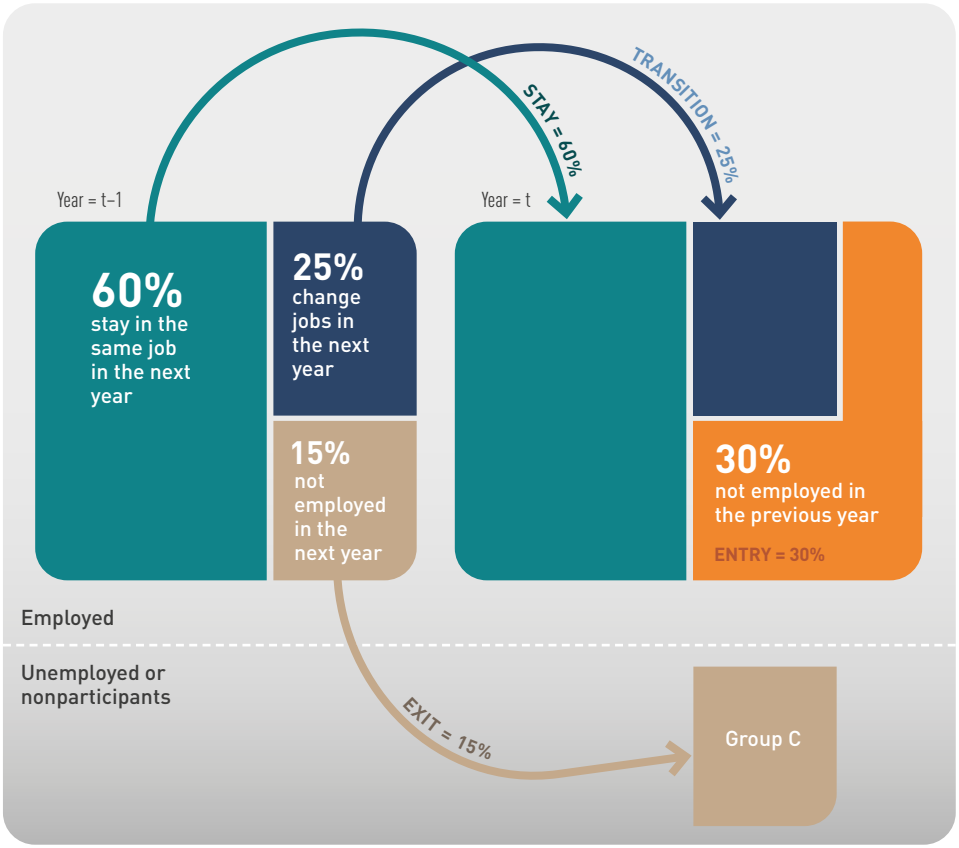
Photo credit: © iStock / Johnny Greig

WORKFORCE ON THE MOVE

LABOR MOBILITY TRENDS OVER TIME

An examination of labor market dynamics based on administrative data covering all private-sector workers suggests that mobility increased following the introduction of the LRI. Quantitative analysis was conducted using data from the General Organization for Social Insurance (GOSI) and the Nitaqat program, covering the period from January 2017 to September 2024. The dataset provides detailed information on individual workers, including age, gender, nationality, occupation, wages, and other relevant variables. Additionally, it includes employer data such as firm size, sector, and region. Key indicators such as transitions, stay, as well as exit and entry rates defined in figure 5.1, all indicated increases in labor market dynamics.

Figure 5.1. Definitions of Labor Mobility Indicators

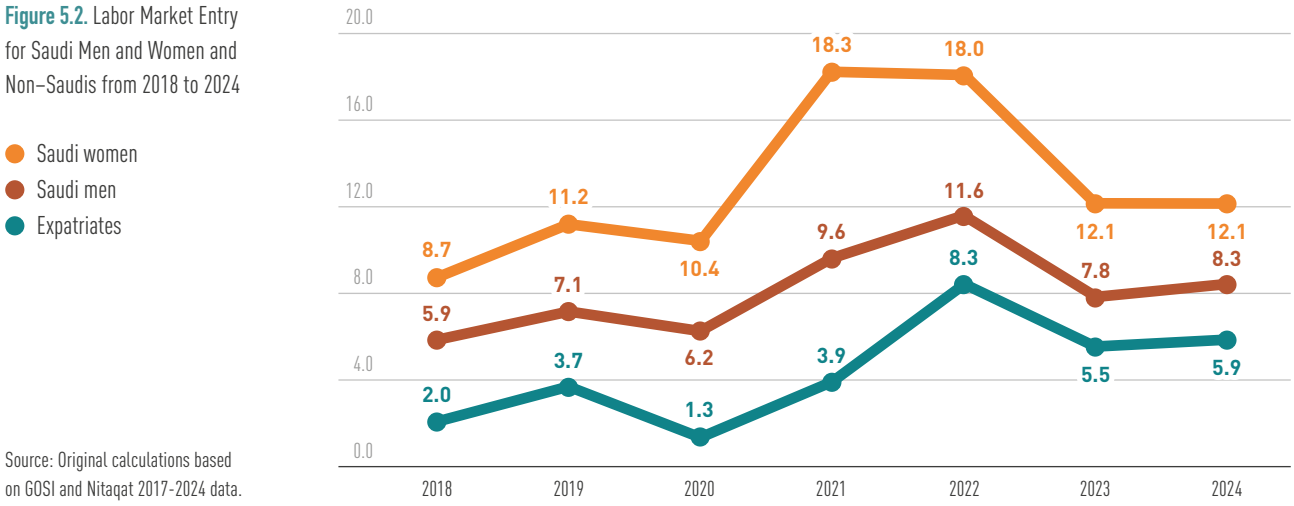


Note: Transition, stay, and exit rates are calculated as a percentage of initial population (t–1), while entry rates were calculated as a percentage of current population (t). Therefore, the transition rate in the figure equals 25 percent, stay rate 60 percent, and exit rate 15 percent. As more people enter the labor market in period t than exit, the number of employed persons increases. Thus, stayers represent only 50 percent, those with job–to–job transitions 20 percent, and entrants 30 percent of the current population (t).

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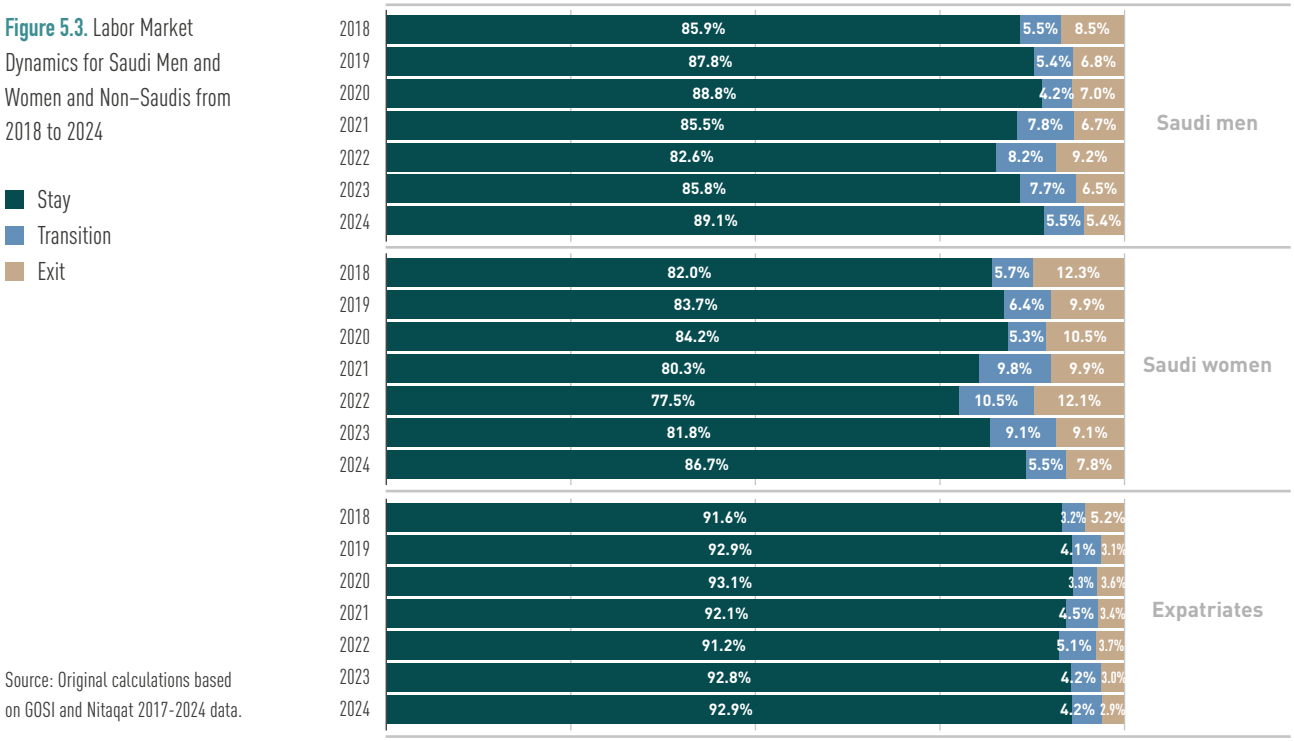
Labor market dynamics have increased since 2020, reaching their peak in 2022. Saudi labor market entry rates have risen since 2018. Entry rates for Saudi men increased from 5.9 percent in 2018 to 11.6 percent in 2022, then fell to 8.3 percent in 2024. Saudi women saw a sharper rise, going from 8.7 percent in 2018 to 18.3 percent in 2021 and 18.0 percent in 2022, before dropping to 12.1 percent in 2024. The upward trend reflects rising participation of women, and overall, the expansion of Saudi private-sector employment. Expatriate labor market entry was steadier, rising from 2.0 percent in 2018 to 8.3 percent in 2022, and decreasing to 5.9 percent in 2024 (figure 5.2). At the same time, exit rates from private-sector employment, particularly among Saudi nationals, decreased during the period from 2018 to 2024 (figure 5.3).

Figure 5.2. Labor Market Entry for Saudi Men and Women and Non-Saudis from 2018 to 2024



Source: Original calculations based on GOSI and Nitaqat 2017-2024 data.

Figure 5.3. Labor Market Dynamics for Saudi Men and Women and Non-Saudis from 2018 to 2024

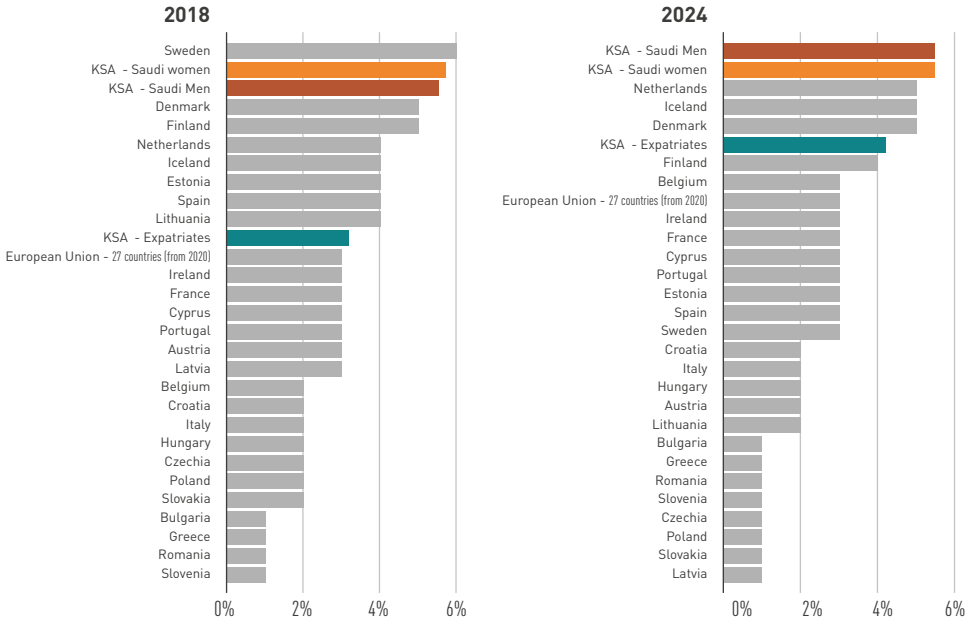


Source: Original calculations based on GOSI and Nitaqat 2017-2024 data.

Transition rates increased for both nationals and expatriates following the LRI in March 2021. The share of transitioning expatriate workers increased from 4.5 percent in 2021 to 5.1 percent in 2022—the highest rate on record. Saudis' labor mobility also increased between 2021 and 2022, with the share of men and women moving to other jobs growing by 0.4 and 0.7 percentage points, respectively. Similarly, as with expatriate workers, the transition rates in 2022 represent the highest levels observed throughout the entire period under study. However, transition rates started decreasing from 2022 onwards, but remained higher than 2018 for expatriate workers (figure 5.3).

From an international perspective, Saudi Arabia continues to display relatively high job-to-job transition rates compared to EU countries. In 2024, the annual average job-to-job transition rates for Saudi men and women in the private sector outpaced those of workers in all EU countries. Meanwhile, job-to-job transition rates for expatriates in the private sector also ranked high by international comparison, with expatriate workers surpassing most EU countries included in the analysis. Compared to 2018, expatriates' relative position improved substantially over the period (figure 5.4). It should be highlighted that GOSI data cover only the private sector, whereas the figures for other countries also include the public sector. This difference may make transition rates for Saudi Arabia appear much higher than in other countries, since private-sector rates are typically higher. The literature does not point to an ideal transition rate; however, countries should aim to achieve productivity-enhancing labor mobility that can generate the positive effects outlined in the previous section.

Figure 5.4. International Comparison of Transition Rates in 2018 and 2024



Source: Original calculations based on GOSI and Nitaqat and Eurostat data.[6]

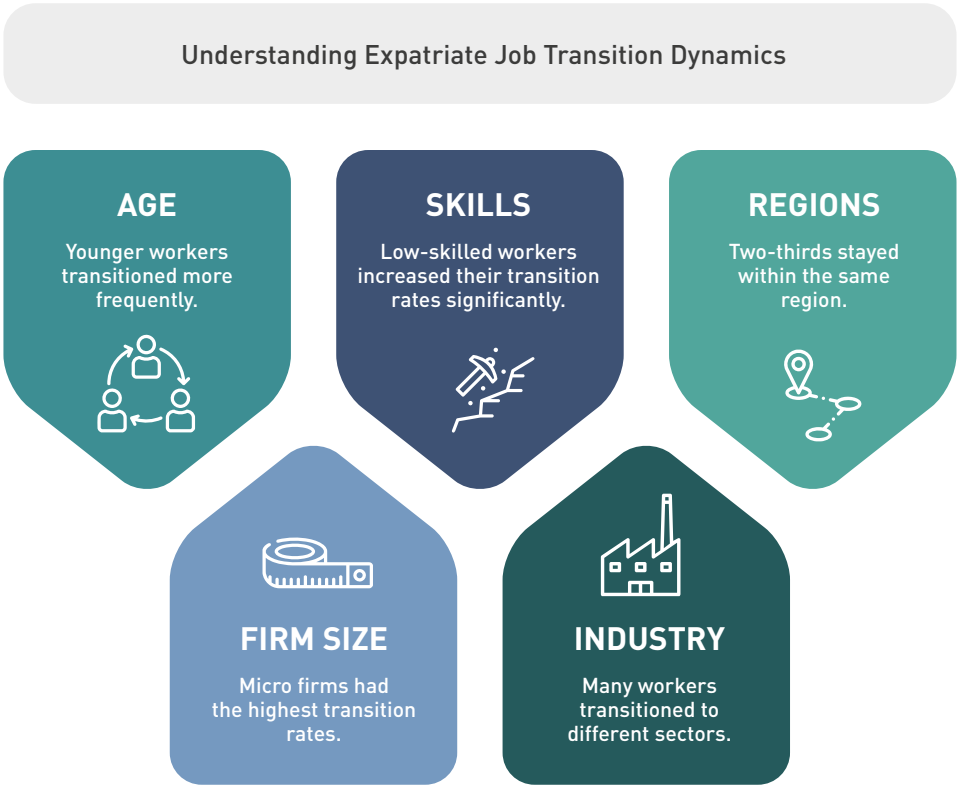
Note: The comparison between the two years shows the change in the relative position of Saudi Arabia from 2018 to 2024. Reported are the annual averages of quarterly transition rates. KSA = Kingdom of Saudi Arabia.

6. https://ec.europa.eu/eurostat/databrowser/view/lfsi_long_e07__custom_22053737/

MAPPING WORKFORCE TRANSITIONS: WHO TRANSITIONED AND WHERE DID THEY GO?

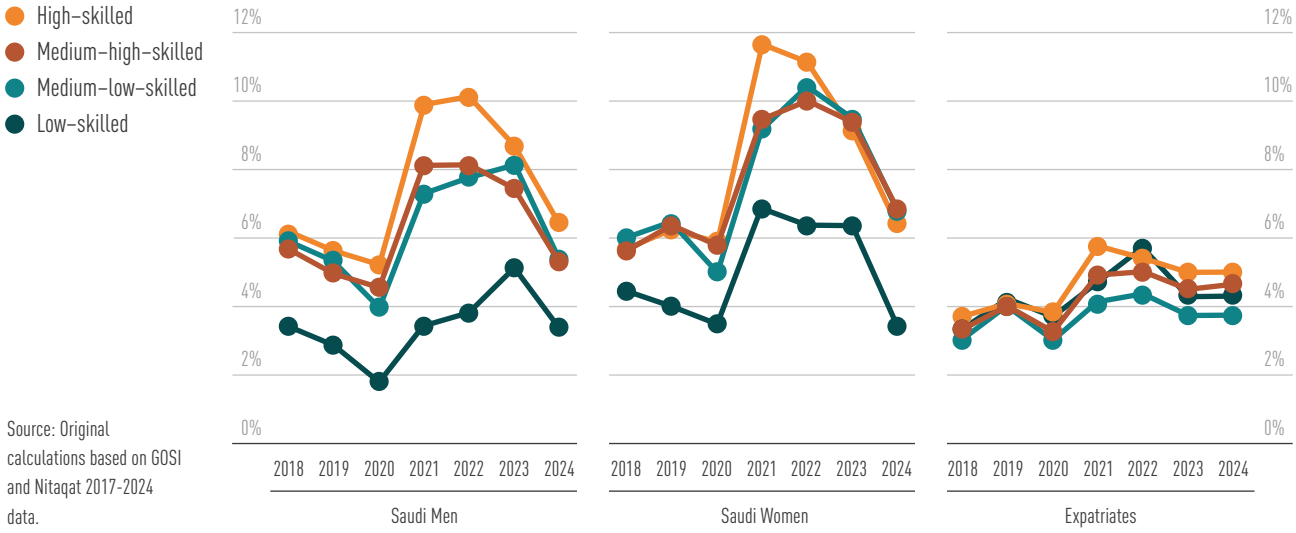
The transition rates differed among skill groups, with the most significant increase observed among low skilled workers. Among expatriates, low-skilled workers, who make up the largest share (50 percent in 2024), exhibited the highest transition rates across all skill levels in 2022, but then decreased thereafter, though remaining higher than the 2018 rates. Conversely, medium-low-skilled expatriate workers had the lowest job-to-job transition rates. For Saudis, high-skilled workers generally had the highest job-to-job transition rates. However, it was the low-skilled Saudis who saw the most significant increase in transition rates compared to 2018 (figure 5.6), but they represent a small portion of the Saudi workforce, accounting for only 4 percent of men and 2 percent of women in 2024.

Figure 5.5. Key Findings on Worker Transition Trends



Source: Original for this publication.

Figure 5.6. Transition Rates by Skill Level for Saudi Men and Women and Expatriates from 2018 to 2024



Source: Original calculations based on GOSI and Nitaqat 2017-2024 data.

Workers transitioning to other jobs were, on average, younger than those who remained with the same employer. The average age of Saudi women and expatriates who experienced job-to-job transitions was approximately two years lower than of those who stayed in the same job. For Saudi men, the difference was even greater, with an average age gap of four years between the two groups (figure 5.7). This trend is not surprising, as younger workers are more likely to explore different career paths, seek better opportunities, and find employment in industries or occupations with less job stability. In addition, younger people often begin their careers in lower-paid, less stable jobs and then move to better positions as they gain skills and experience. This could be attributed to labor demand, as technological and gig economy jobs with higher turnover rates often target younger employees, or to labor, as younger workers may lack financial responsibilities that would otherwise encourage job stability.

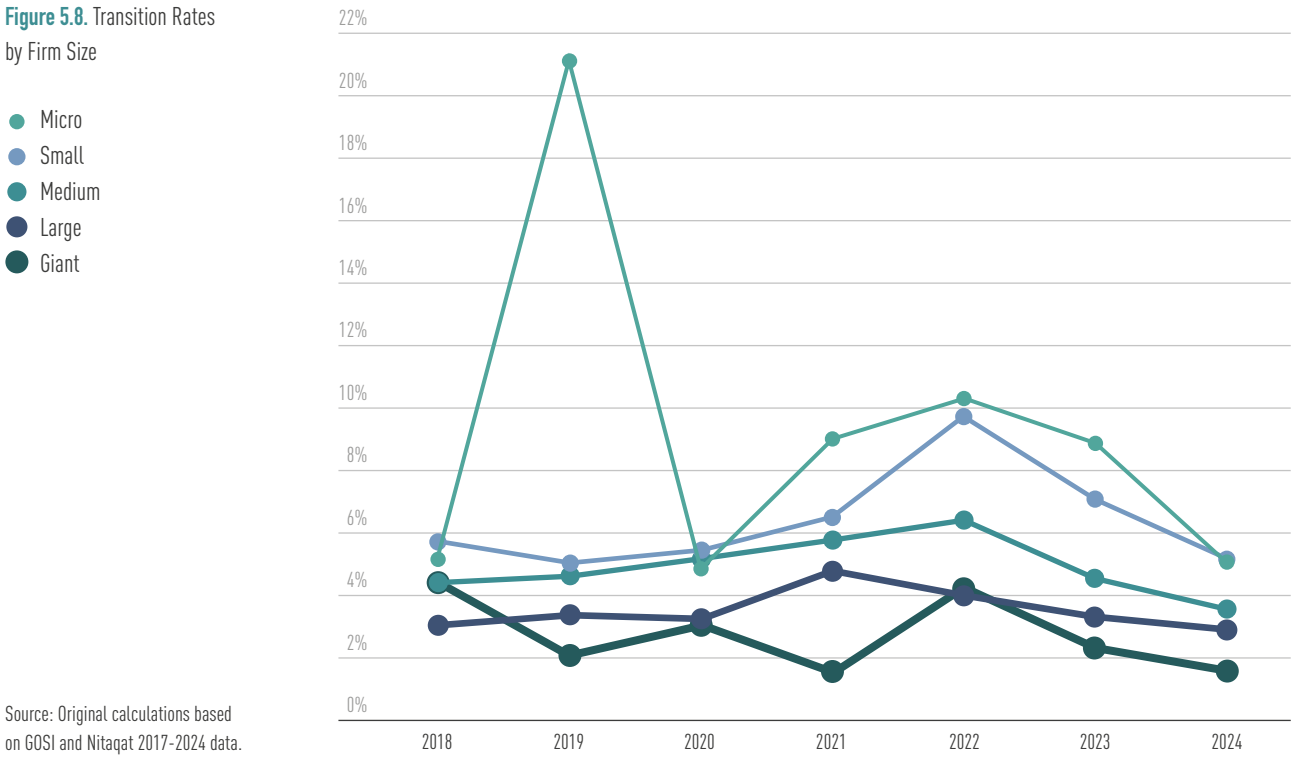
Figure 5.7. Average Age by Labor Market Status in 2024

	Saudi Men	Saudi Women	Expatriates
Entry	28.3	31.9	31.6
Exit	30.5	33.2	37.0
Transition	30.3	33.0	36.5
Stay	34.3	34.5	38.3

Source: Original calculations based on GOSI and Nitaqat 2024 data.

Transition rates decline as firm size increases, with the highest rates observed in microfirms. Microsized firms, with their flat organizational structures and vulnerability to economic fluctuations, offer limited career opportunities and higher job insecurity. However, they are often at the forefront of innovation and provide the kind of flexible environment that workers may use as a stepping stone to new ventures or even their own businesses. All these factors contributed to the fact that microsized firms had the highest transition shares in the observed period (figure 5.8).

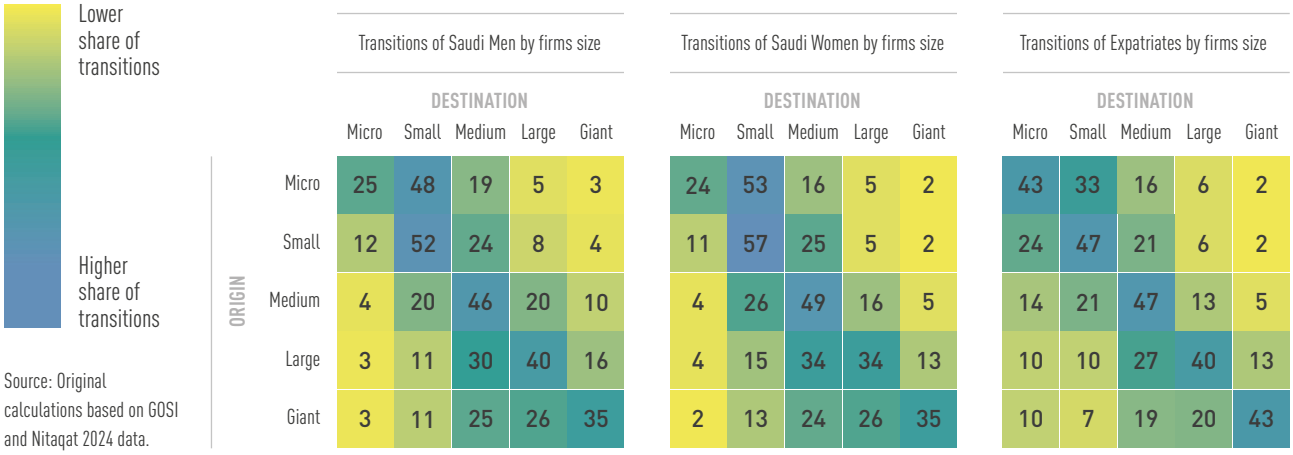
Figure 5.8. Transition Rates by Firm Size



Source: Original calculations based on GOSI and Nitaqat 2017-2024 data.

Typically, approximately half of workers who transition move to firms of similar size, apart from Saudis initially employed in microfirms. Approximately 46 percent to 49 percent of employees who start at medium–sized firms subsequently find employment at other medium–sized firms. Among expatriates and Saudi women who move from medium–sized firms to other sizes, 35 percent and 30 percent join smaller firms, respectively. In contrast, 30 percent of Saudi men employed at medium–sized firms transition to larger firms. Saudis employed in micro–firms also tend to move to larger firms, with only 25 percent remaining employed in microfirms (figure 5.9). Transitioning from smaller to larger firms can be an indication of a reallocation towards more productive firms; however, even remaining in same–sized firms can generate positive effects if the move is associated with reduced skills mismatches and improved firm efficiency.

Figure 5.9. Labor Mobility Flows by firm size, 2024

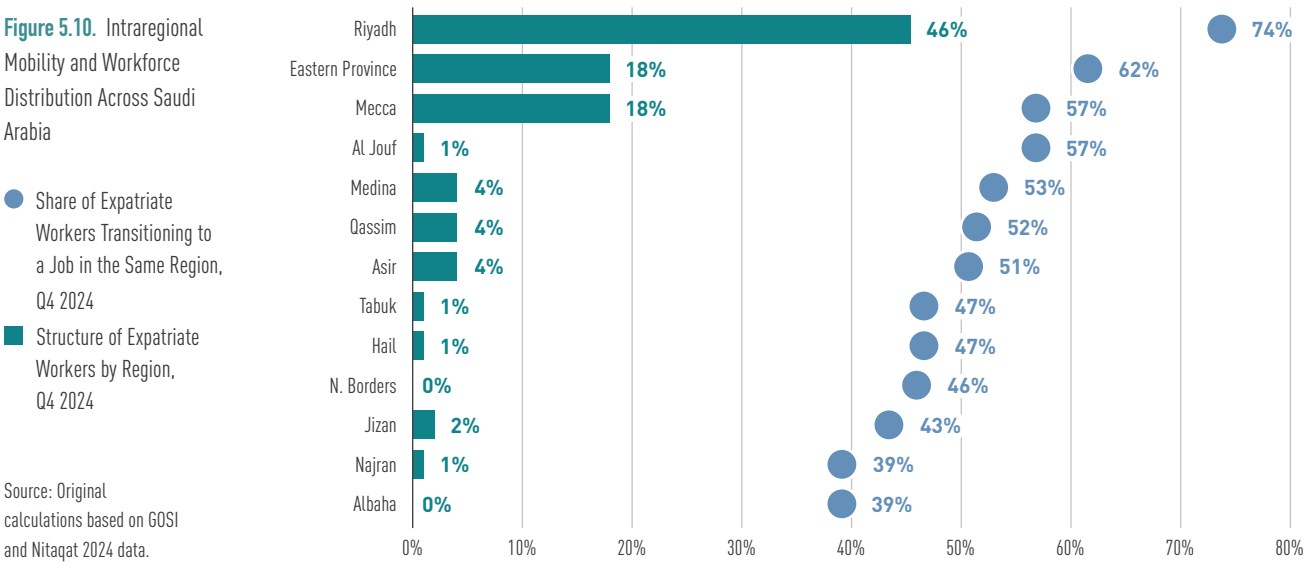


Source: Original calculations based on GOSI and Nitaqat 2024 data.

Approximately two-thirds of workers transitioning to new jobs remain within the same region. This is primarily due to the concentration of employment in three regions: Riyadh, Eastern Province, and Mecca (figure 5.10). That being said, workers from regions with more limited job opportunities, despite their relatively small numbers, are more inclined to relocate to regions with higher labor demand during their transitions. Overall, most transitions occur toward the three regions with the highest employment levels.

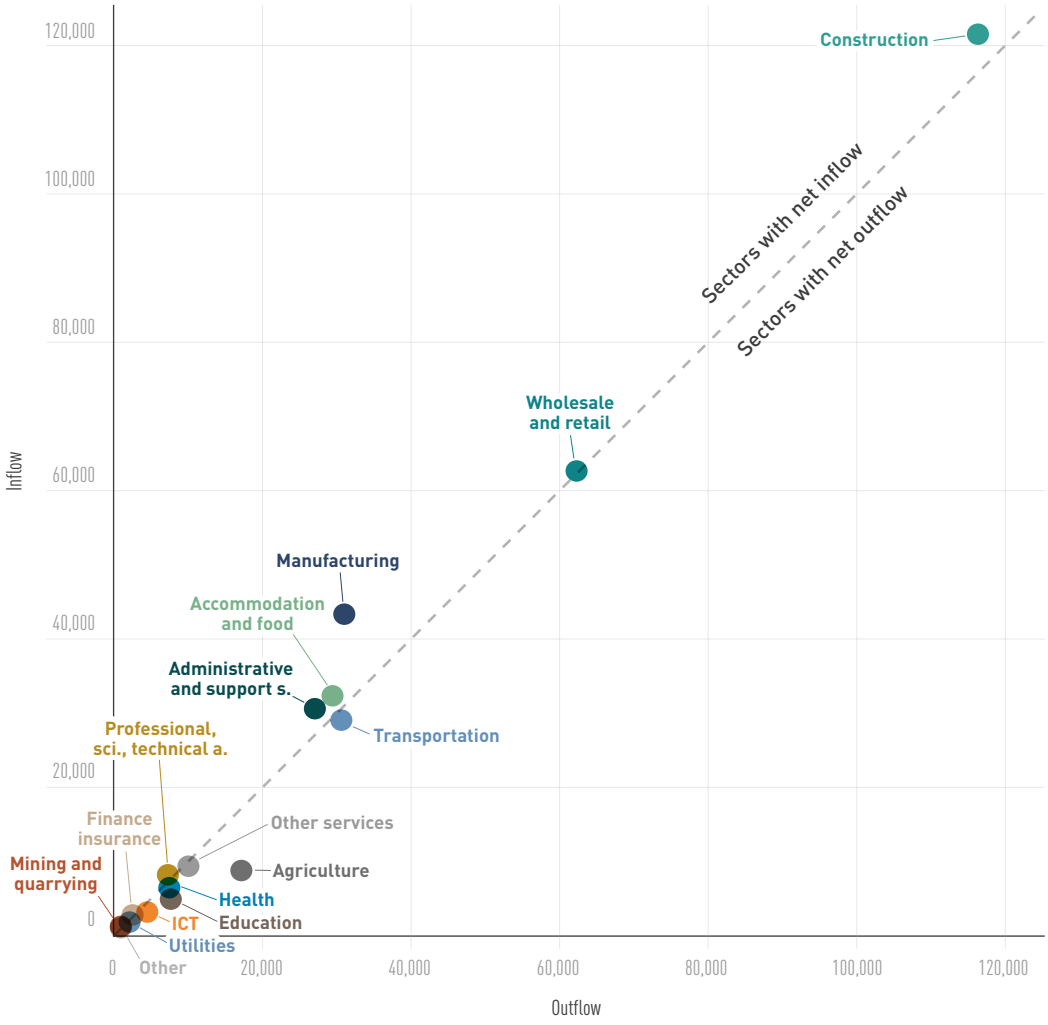
On the other hand, cross-sectoral movements upon transitioning to another job are more common. Around 65 percent of expatriate workers who changed jobs changed sectors. Similar to movements across regions, the largest flows of workers in absolute terms were directed to economic activities with the largest employee base, namely construction and wholesale and retail (figures 5.11 and 5.12).

Figure 5.10. Intraregional Mobility and Workforce Distribution Across Saudi Arabia



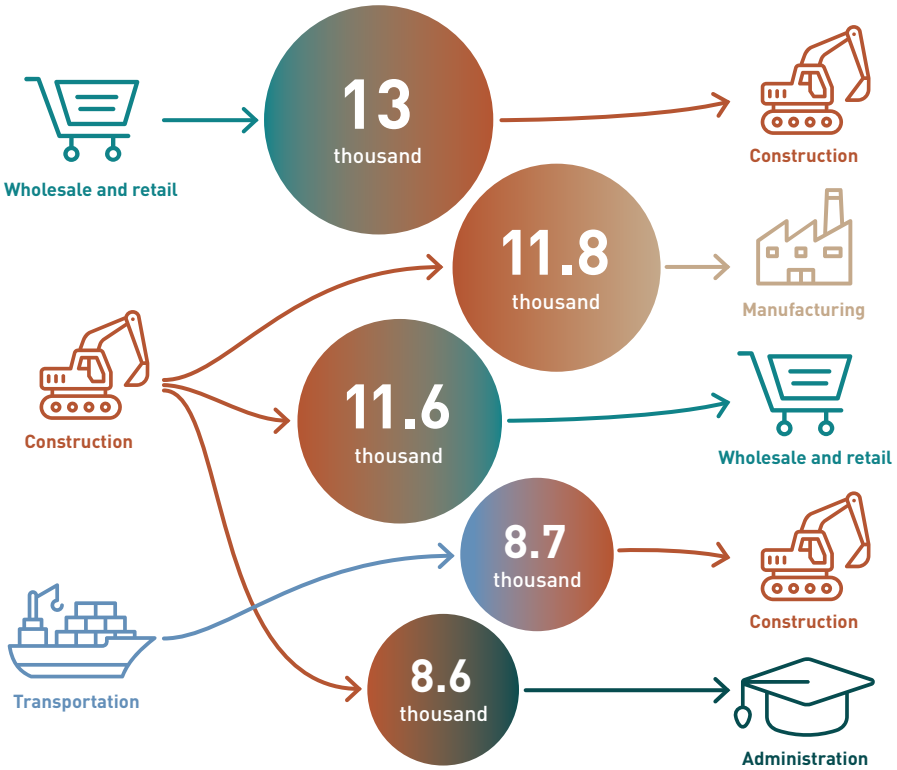
Source: Original calculations based on GOSI and Nitaqat 2024 data.

Figure 5.11. Sectoral Inflows and Outflows of Expatriate Workers Due to Transitions, Q4 2024



Source: Original calculations based on GOSI and Nitaqat 2024 data.

Figure 5.12. Top 5 Industry Flows of Expatriate Workers, Q4 2024



Source: Original calculations based on GOSI/Nitaqat 2024 data.

HOW DID THE LABOR REFORM INITIATIVE AFFECT EMPLOYERS AND EXPATRIATES?

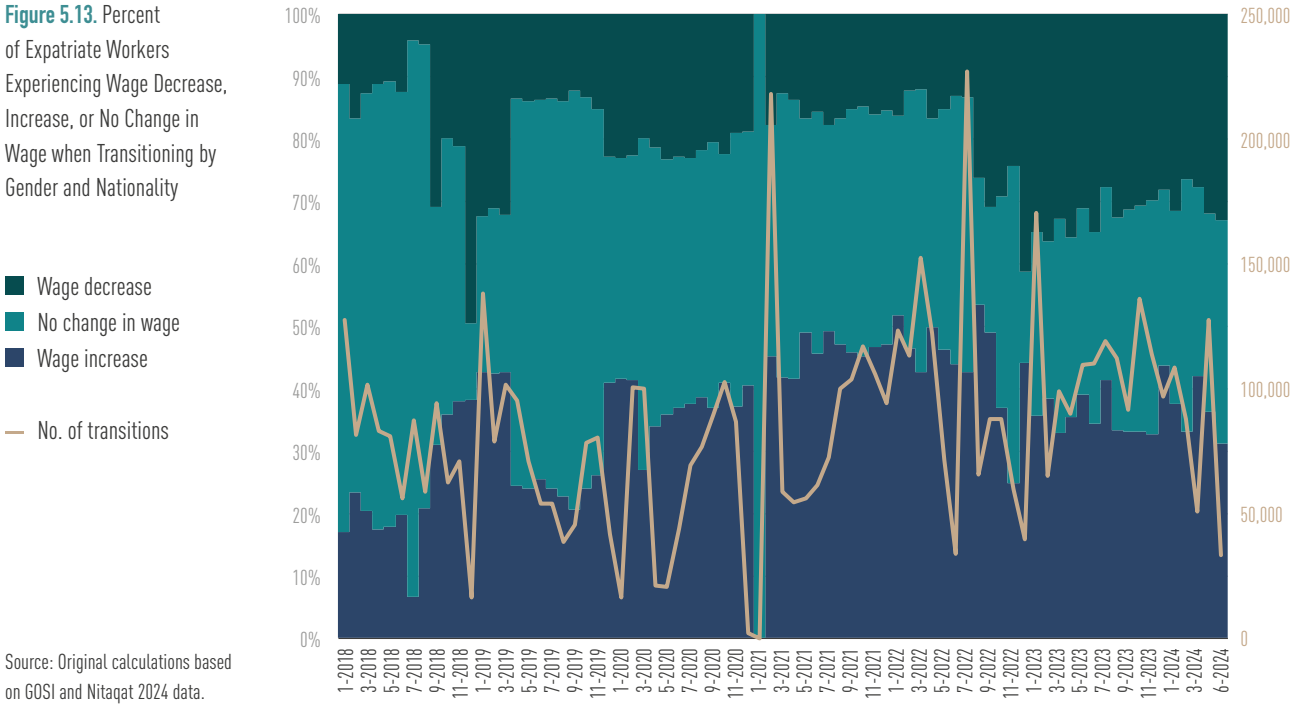
As evidenced in the literature, higher labor mobility in Saudi Arabia is associated with higher wages. Administrative data reveal that an increasing share of expatriates has experienced wage increases upon job transitions over the past few years. The percentage more than doubled between January 2018 and 2022 (figure 5.13). By the end of 2022, there was a noticeable reduction in the share of workers experiencing no wage adjustment upon job transition, which may be linked to electronic contracts being made mandatory through Qiwa in May 2022. When focusing solely on workers who received wage raises, those who transitioned generally gained more than those who remained with the same employer. The difference was most pronounced for medium–high–skilled workers (see figure 5.14), but they are only a small share of those who received wage raises (figure 5.15).

Employer interviews and employee and employer surveys also report a positive effect of the LRI on wages, indicating that workers gained enhanced negotiating power with the policy. The interviews reveal that the increased negotiating power of expatriate workers led to heightened market competition, which, in turn, has motivated expatriate talent to remain in Saudi Arabia and seek improved opportunities. As one employer aptly stated:

> *"We strive to retain them by addressing their concerns and, on occasion, offering salary increases. For instance, last month, I successfully retained an employee by implementing a salary adjustment."*

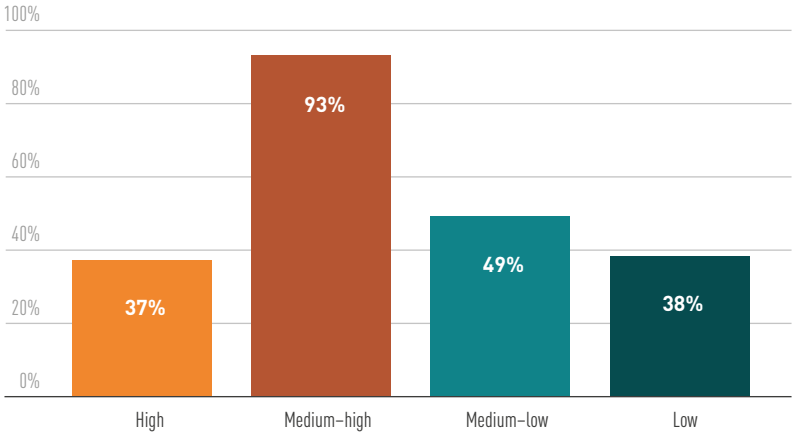
A survey of origin firms (firms experiencing a workforce outflow) and destination firms (firms experiencing a workforce inflow) corroborates these interviews. Notably, 45 percent of destination firms reported offering higher salaries, while 91 percent of origin firms actively sought to retain their workers by providing pay raises. An online survey of over 49,000 expatriate workers revealed that 52 percent transferred for favorable opportunities, such as higher pay or a promotion, while 32 percent transferred due to negative experiences, like misalignment with their employer or dissatisfaction with their role.

Figure 5.13. Percent of Expatriate Workers Experiencing Wage Decrease, Increase, or No Change in Wage when Transitioning by Gender and Nationality



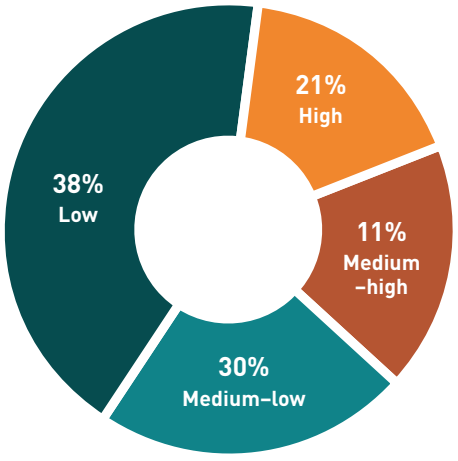
Source: Original calculations based on GOSI and Nitaqat 2024 data.

Figure 5.14. Average Percentage Gain in Wage Increases for Expatriate Job Switchers Compared to Stayers (Among Those Who Received a Raise) by Skill Level, June 2024



Source: Original calculations based on GOSI and Nitaqat 2024 data.

Figure 5.15. Percentage Distribution of Skill Levels among Expatriate Job Switchers and Stayers Who Received Wage Increase, June 2024



Source: Original calculations based on GOSI and Nitaqat 2024 data.

The LRI policy was perceived to offer numerous significant advantages of recruiting expatriates. Interviews and surveys conducted with firms revealed a diverse array of reasons for hiring expatriate workers through the mobility policy rather than recruiting from overseas. Key advantages included better skills among expatriates with Saudi labor market experience, a faster and more streamlined process, and lower overall costs for recruitment. As one employer noted:

> *"The main one being the ease of transferring labor internally within the Kingdom, saving time, and the effort that HR might exert in recruiting talents from within and outside the Kingdom."*

The enhanced mobility of the workforce has also provided employers with a greater ability to evaluate talent before hiring, as prospective employees are conveniently located within the country. In a 2025 3LMS study,[7] 65 percent of employers reported that the LRI had a positive impact on their organization, while only 2 percent perceived it as having a negative effect. Furthermore, 58 percent stated that the LRI facilitated the retention of expatriate employees, whereas 3 percent believed it made retention more challenging. The remaining respondents indicated that the reform had no significant impact.

The LRI policy also had indirect effects on firms' compliance with other regulations. For example, firms that are not compliant with other regulations, such as the Wage Protection System,[8] cannot take advantage of the LRI.

7. The three labor market surveys of nationals, expatriates, and firms (3LMS) in Saudi Arabia were conducted betwen October 2024 and February 2025. They included more than 5,000 Saudis, 4,000 expatriates, and 3,000 firms.
8. The Wage Protection System ensures fair payment of wages to all employees of private sector organizations, protecting workers.



Photo credit: © MHRSD

AN EVALUATION OF THE LABOR REFORM INITIATIVE

Descriptive statistics are essential for understanding broad patterns and differences among groups. They help highlight trends and provide context for the data. However, while useful, these summaries alone cannot determine whether the LRI directly caused the observed changes. For example, differences in wages or job transitions may result from other factors unrelated to the reform.

To estimate the specific impact of the LRI, the paper employs a difference-in-differences (DiD) approach, comparing changes in labor mobility between groups affected by the reform and those that were not. The LRI, implemented in March 2021, applied only to expatriates who had been residing in Saudi Arabia for at least one year, thereby excluding newer expatriates. This eligibility rule allows for a clear identification strategy, defining the treatment group as expatriates with more than one year of tenure in Saudi Arabia and the control group as expatriates with less than one year of residence. The paper measures job-to-job transitions over the 2018—2024 period, which covers three pre-reform years (2018—2020) and four post-reform years (2021—2024). The DiD estimator captures how these outcomes changed for long-term expatriates (treatment group) relative to short-term expatriates (control group) after the reform's introduction. By contrasting these trends before and after March 2021, the paper isolates the causal effect of the LRI on expatriate labor mobility, controling for broader labor market dynamics and year-specific shocks (box 6.1). Since randomized controlled trials are not feasible in this setting, the LRI provides a valuable natural experiment enabling credible causal inference.

BOX 6.1. THE DIFFERENCE-IN-DIFFERENCES (DiD) APPROACH

CONCEPT

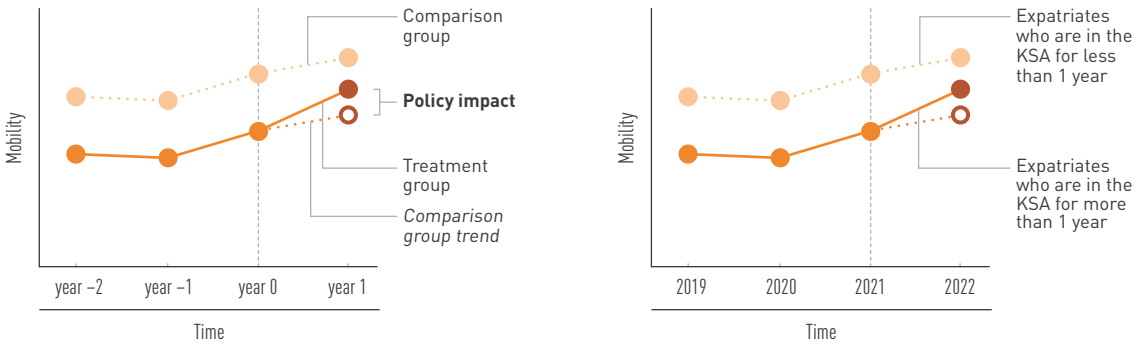
The difference-in-differences (DiD) approach compares how outcomes change over time for **a group affected by a reform (treatment group) and a group not affected (control group).** By observing both groups before and after the reform, we can isolate the reform's causal effect from other external influences.

APPLICATION

LABOR MOBILITY

- *Treatment group:* Expatriates in Saudi Arabia for more than one year, who became eligible under the LRI to change employers without prior consent
- *Control group:* Expatriates in the country for less than one year, who were not yet eligible
- *Comparison:* Differences in job-to-job transitions before and after the reform (see figures B6.1.1 and B6.1.2).

Figure B6.1. Differences in Job-to-Job Transitions Before and After the LRI.



WAGES

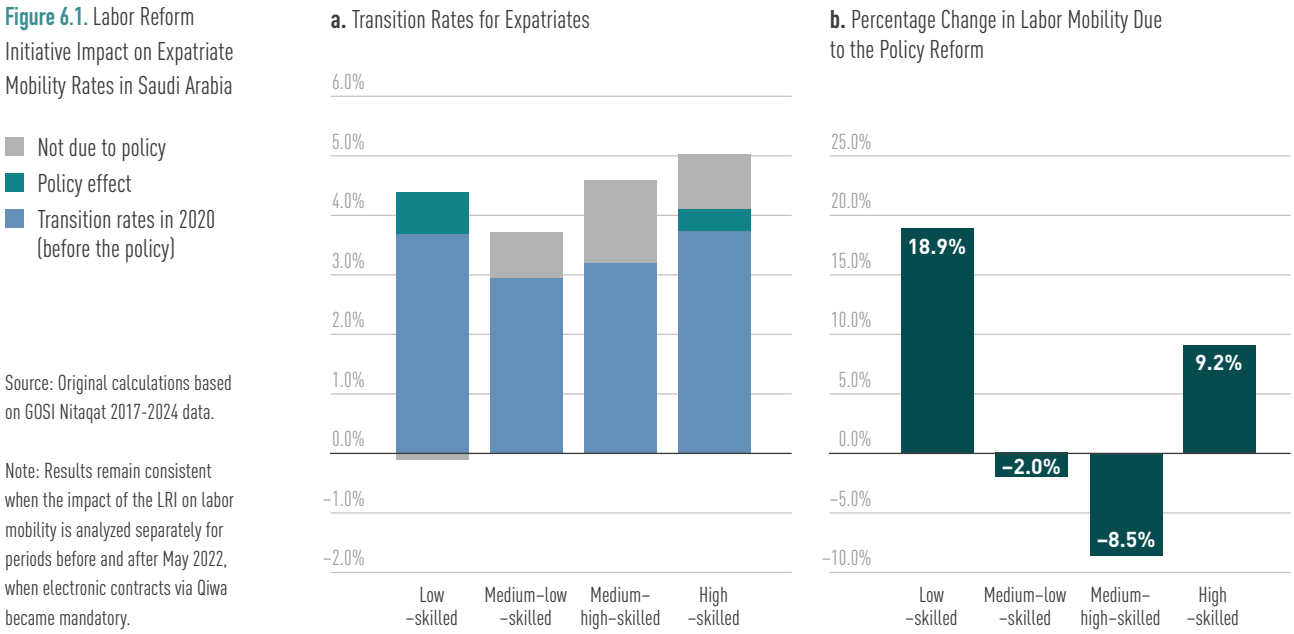
- *Treatment group:* Workers who switched jobs
- *Control group:* Workers who remained with the same employer
- *Comparison:* Differences in wage changes before and after the reform
- *Placebo test:* Wage patterns of Saudi men and women—who were unaffected by the reform—were also examined to ensure wage effects were not driven by unrelated external shocks.

CONTROLS

Additional covariates (for example, occupation, firm size, sector, and region) were included in the models to account for other factors that might influence labor mobility or wages, enhancing the robustness of the estimates.

DiD results confirm that the LRI increased the labor mobility of low-skilled expatriate workers. The likelihood of switching jobs among this group was 19 percent higher after the policy change than before. Specifically, due to the LRI, the job-to-job transitions for low-skilled expatriate workers increased from 3.7 percent to 4.4 percent (figure 6.1). This pronounced effect can be attributed to the relatively low bargaining power of low-skilled workers, which made them more responsive to the removal of mobility restrictions. Significantly, this evidence does not suggest that the reform led to a deterioration in workforce quality. Firms most likely retained the more capable individuals within the low-skilled segment, suggesting a positive selection effect. While the impact was strongest among low-skilled workers, high-skilled expatriates also experienced a statistically significant increase in mobility, underscoring the broad reach of the reform.

Figure 6.1. Labor Reform Initiative Impact on Expatriate Mobility Rates in Saudi Arabia



Source: Original calculations based on GOSI Nitaqat 2017-2024 data.

Note: Results remain consistent when the impact of the LRI on labor mobility is analyzed separately for periods before and after May 2022, when electronic contracts via Qiwa became mandatory.

The LRI also contributed to reducing the wage gap between Saudis and expatriate workers. The analysis revealed a significant positive relationship between the LRI and the real wages of expatriates who changed jobs, corroborating the trends described in section 3. Specifically, expatriates who transitioned earned slightly lower wages (-0.3 percent) than similar nontransitioning workers before the reform, but after, the wages were 16.2 percent higher compared to expatriates who stayed with the same employer (see table 6.1). The period after the LRI was, on average, associated with a 16.6 percent increase in expatriate wages upon transition. Not surprisingly, the wages of Saudi men and women were not significantly affected by the LRI. As a result, the LRI helped narrow the wage gap between nationals and expatriates. Without it, we would have observed an even higher increase in the pay disparity between nationalities.

Table 6.1. Regression Results on the Impact of the LRI on Wages

	Saudi Men	Saudi Women	Expatriates
Transition vs. nontransition, before LRI	0.2%	3.2%	–0.3%
Transition vs. nontransition, after LRI	1.0%	3.0%	16.2%
The "impact" of LRI on transitioning workers	0.8%	–0.2%	16.6%

Source: Original calculations based on GOSI Nitaqat 2017-2024 data.

Note: The mandatory adoption of electronic contracts via Qiwa may affect observed wage dynamics, as official records now accurately reflect actual wages rather than "declared" figures. To assess the impact of the LRI on transitioning workers, we conducted regression analysis for the periods before and after May 2022. Our findings indicate that the effect of the LRI on expatriates' wages was greater prior to Qiwa's compulsory use of electronic contracts (23.4 percent) compared to after its implementation (8.5 percent), though the effect remained positive and statistically significant.

Given the absence of appropriate data, it is hard to determine the impact on productivity and indirect benefits. If wages are assumed to be a proxy for productivity, then transitioning seems to be productivity–enhancing, especially for low–skilled expatriates. The higher wages might result from reduced rents among employers who previously benefited from restricting worker mobility, leading to upward adjustments in wages as these rents decline. Transitioning workers were also moving across sectors. The LRI could therefore help ensure that labor flows to more productive sectors, which is an important contribution to productivity growth. There are also possible indirect benefits of increased labor mobility. The employees who can move more easily are more resilient to shocks and can spur innovation by spreading ideas and skills. The high–mobility environment, now offering competitive salaries and opportunities for career advancement (even for expatriates), may attract highly skilled professionals, entrepreneurs, and innovators from the expatriate community. Lastly, reduced mobility restrictions will likely lower the number of labor disputes. As salaries converge across worker groups, the reform may encourage greater localization, making it easier for nationals to compete for roles previously dominated by expatriates.



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CONCLUSION

With the LRI, the Saudi Arabian government has taken a significant step toward a flexible labor market. The results of this study show that removing the obstacles for expatriate mobility has increased workers' job–to–job transitions and improved their earning prospects. As a result of the policy, firms are changing their planning practices and improving working conditions to retain employees. All of this was also recognized by the international community and led to the improvement of the Kingdom's ranking in labor market indices. Since 2020, Saudi Arabia has improved its overall International Institute for Management Development (IMD) Competitiveness ranking from 24th to 16th place (IMD 2024). Moreover, its Labor Rights Index score increased from 58 to 62.5.[9] In 2024, Saudi Arabia also ranked second in the InterNations Working Abroad Index.[10]

As a result of the heightened competition for workers, expected changes will not only benefit employees but also strengthen the broader economy. Higher wages and improved benefits to retain workers will boost their purchasing power, driving greater consumer demand and fueling economic growth. Enhanced investments in training and skill development could lead to a more capable and innovative workforce, raising productivity across sectors. The potential adoption of flexible work arrangements and emphasis on well–being might create a healthier, more satisfied labor force, reducing turnover and fostering stability. Over time, these adjustments could promote a more dynamic labor market in which economic efficiency and innovation thrive. If these trends continue, the economy could become more equitable, resilient, and better equipped to sustain long–term growth in an increasingly competitive global landscape.

9. See https://labourrightsindex.org/.
10. See https://www.internations.org/expat–insider/2024/working–abroad–index–40453.

The LRI has also received widespread international recognition, contributing significantly to Saudi Arabia's improved global competitiveness. Since its introduction, the Kingdom has achieved notable progress across several key indicators. Saudi Arabia's ranking in the Labor Regulation Index has risen 23 places, while the Skilled Labor Index ranking has improved by 22 places. Additionally, the Labor Force Productivity Index ranking has climbed 18 places, and the Immigration Laws Index advanced by 12 places. These advancements highlight the success of the LRI in fostering a more dynamic and competitive labor market.

Nonetheless, some challenges persist. Smaller firms are disproportionately affected by the LRI and may thus experience more adjustment burdens than larger firms, as well as concerns about retaining their labor force. To remain competitive, these firms can adopt labor–saving technologies and automation, thereby reducing their dependence on manual labor for repetitive, low–skilled tasks. In addition, investing in workforce upskilling fosters resilience and adaptability. For example, artificial intelligence—powered platforms can deliver personalized training modules to new hires, reducing the time and cost of onboarding. Furthermore, such technologies not only enhance operational efficiency but also empower employees with relevant skills, contributing to long–term organizational stability. Further improvements in recruitment support and access to talent may also gradually ease hiring pressures.

While the LRI has successfully enhanced labor mobility, some employers have raised concerns about its potential negative impacts. Many are frustrated by the unexpected nature of transfers, often discovering an employee has left only when they are urgently needed for a project. Others argue that the ease of transfer undermines contractual agreements, making it difficult to retain skilled workers. As a result, companies are hesitant to invest in employee training, fearing that workers may transfer to other companies after just a year or two. Dissatisfaction is most common among businesses with weaker human resources practices and less attractive environments; however, low–skill, labor–intensive sectors are particularly affected due to high transfer volumes. Policies that help microfirms hire needed skills can turn this dissatisfaction into increased value added and profitability. These policies reduce hiring costs, mitigate employment risk, improve matching efficiency, and alleviate administrative and financial constraints. In terms of training, the government began to incentivize firms to train their employees. A policy was implemented in 2023 that required firms with more than 50 employees to report their annual training activities through Qiwa (that is, training hours, number of trainees, and training budgets). Providing firms with information is important, as many undertrain because they are unsure about the returns on their investment.

Finally, evidence suggests that low–skilled expatriates have experienced the greatest impact from the LRI compared to other groups. The policy has primarily reshaped employment dynamics in labor–intensive sectors, with relatively less influence on middle–skilled professions. Further exploration is needed to fully understand the reasons behind these findings, which could be due to limited formal job intermediation services for these skills. Interviews suggest thus far that workers are relying on personal networks or directly applying to firms when seeking new opportunities: "*Laborers often come to the industrial area, especially industrial employees, they come and apply to every factory.*" To facilitate intermediation, skills credentialling systems can be put in place. A skills passport can allow job seekers to indicate which skills they have acquired and which qualifications they have obtained to better streamline job applications.



Photo credit: © MHRSD

APPENDIX A

SYNTHESIS OF RESULTS FROM ADMINISTRATIVE, SURVEY, AND INTERVIEW DATA

Table A.1. Transition Rates Results

ADMINISTRATIVE DATA RESULTS	INTERVIEWS		SURVEY RESULTS	SYNTHESIS
	QUOTES	IMPLICATIONS		
The share of transitioning expatriate workers increased from 4.5 percent in 2021 to 5.1 percent in 2022, reaching the highest rate compared to previous years. Among expatriates, low-skilled workers exhibited the highest transition rates across all skill levels in 2022. The likelihood of switching jobs among low-skilled expatriates was 19 percent higher after the policy change than before the introduction of the LRI.	*"Hiring locally is easier and faster: ...the ease of transferring labor internally within the Kingdom, saving time, and the effort that HR might exert..."* *"Employers have more options to choose from. We can assess them for a month without high costs, and if they meet our standards, we transfer their sponsorship."* *"Employers prefer transferring expatriates to recruiting from abroad. The main one being the ease of transferring labor internally within the Kingdom, saving time, and the effort that HR might exert in recruiting talents from within and outside the Kingdom."* *"Expatriate workers are actively seeking transfers. Laborers often come to the industrial area, especially industrial employees, they come and apply to every factory."* *"Original employers attempt to block the transfer. If that establishment issues a final exit, it's like they close the door on me. I can't complete the process and transfer the sponsorship to me even though he meets the conditions."*	Expatriate workers are leveraging personal networks to actively seek better opportunities while being on the job in Saudi Arabia, especially lower-skilled workers going to factories to seek other jobs. Destination firms are diligent to avoid situations where the worker has violations or is blocked on the system. Many still seek original employer approval even if it is not required. Violations made by the original employer impact the transfer.	The largest group of respondents (34 percent) had both expatriates coming in and leaving their establishments through the expatriate mobility policy; 17 percent did not report any instance of expatriate mobility; and 30 percent did not complete the survey after starting it. Sixty-two percent of the expatriate transfers were not pushed for by the original employer and would not have been possible before the expatriate mobility policy.	The LRI appears to have increased transition rates. However, the observed results also reflect two offsetting mechanisms: some employers actively hinder worker transitions (negative contribution), while others facilitate them (positive contribution).

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🔍 The average age of expatriates who experienced job-to-job transitions was approximately two years lower than that of those who stayed in the same job. 🔍 Microsized firms had the highest transition shares in the observed period. 🔍 Approximately two-thirds of workers transitioning to new jobs remain within the same region. 🔍 Workers from regions with more limited job opportunities are more inclined to relocate to regions with higher labor demand during their transitions.	*"Expatriate mobility is unfair to employers. I have a contract with him that hasn't ended, and it's documented in Qiwa and everything. Then, he can just file a transfer request and move within 90* days. Thanks to you, he moved from my company." "Expatriate mobility is damaging to original employers. I train a person in sales and other skills, and then they transfer their sponsorship without any reason, without any justification. I lost a lot in this process."	Unsatisfied employers are generally the ones with poor human resource management (HRM) practices and less attractive work environments. Low-skill, labor-intensive sectors are more likely to be dissatisfied with the policy given the volume of transfers.	Firms that did not benefit from the expatriate mobility policy (71 percent) have more concerns related to retaining their expatriate workers than those that did hire an expatriate through the policy (63 percent). Only 15 percent rated the policy and its implementation as poor or very poor.	The largest gains are observed among low-skilled workers and workers in microsized firms. Conversely, microsized firms (which often have inadequate or weak HRM practices) and low-skilled sectors were the most dissatisfied with the reform.

Source: Original for this publication.

Note: HR = human resources; LRI = Labor Reform Initiative.

Table A.2. Wages Results

ADMINISTRATIVE DATA RESULTS	INTERVIEWS		SURVEY RESULTS	SYNTHESIS
	QUOTES	IMPLICATIONS		
🔍 The percentage of expatriates who received wage raises after job-to-job transitions more than doubled between January 2018 and 2022. 🔍 When focusing solely on workers who received wage raises, those who transitioned generally gained more than those who remained with the same employer. 🔄 The period after the LRI was, on average, associated with a 16.6 percent increase in expatriate wages upon transition.	*"Expatriate mobility gives workers negotiating power. We try to retain them by discussing their concerns and sometimes offering a salary increase. For example, last month, I managed to keep an employee by increasing his salary."*	Competition for talent is driving overall wages and benefits for expatriate workers to improve.	Ten percent of destination firms reported offering higher positions, indicating minimal career progression impact from the expatriate mobility policy, but 45 percent report higher salaries. Ninety-one percent of origin employers attempting to retain their workers offered a pay raise or better working conditions.	The reform appears to have raised wages for transitioners as well as for workers employers attempted to keep, suggesting upward pressure on wages through both mobility and retention channels.

Source: Original for this publication.

Note: 🔍 indicates descriptive empirical approach, whereas 🔄 denotes difference-in-differences finding. LRI = Labor Reform Initiative.

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